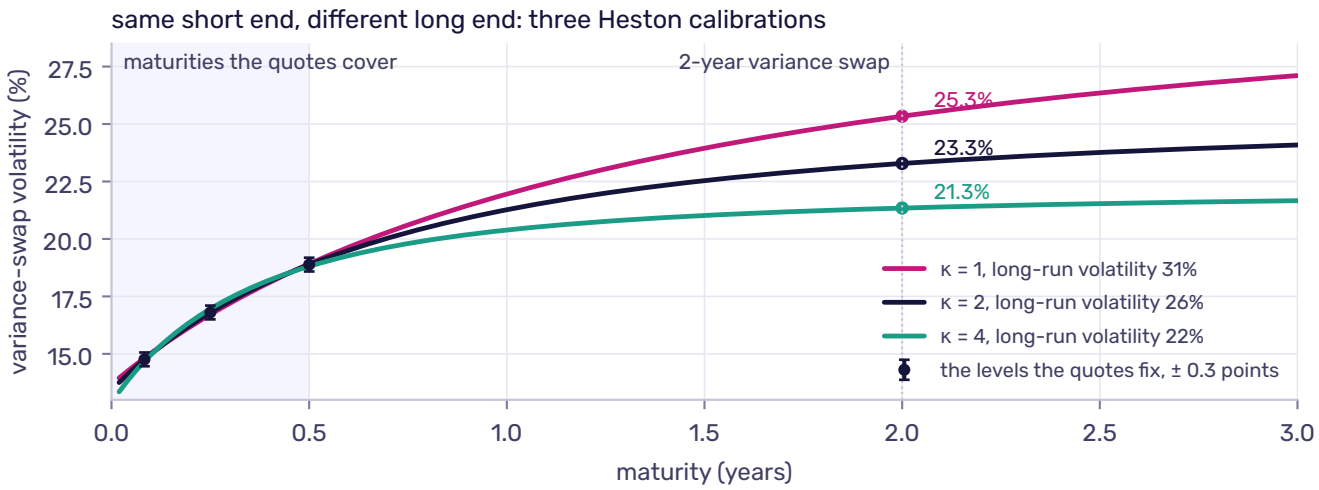
same short end, different long end: three Heston calibrations
maturities the quotes cover
2-year variance swap
25.3%
23.3%
21.3%
κ = 1, long-run volatility 31%
κ = 2, long-run volatility 26%
κ = 4, long-run volatility 22%
the levels the quotes fix, ± 0.3 points
variance-swap volatility (%)
27.5
25.0
22.5
20.0
17.5
15.0
0.0
0.5
1.0
1.5
2.0
2.5
3.0
maturity (years)